

## Global Metals Weekly

# China's Zeitenwende as the US saves copper

### US keeps attracting copper units – tariffs or no tariffs

The US has become the global sink for refined copper, with tariff expectations and attractive warehouse-financing returns pulling the metal away from other markets. Elevated imports have left the US holding more than 1.2Mt of copper, while inventories in China and on the LME have tightened. With CME contangos continuing to reward storage, we believe copper will remain in the US unless stronger nearby demand flattens the curve or higher LME prices provide sufficient compensation for re-exports. We also believe that while tariff expectations were important at the outset to move copper to the US, storage economics are now sufficient to keep the metal tied up. As such, any tariff decision by President Trump may in the end not have a sustained impact. Indeed, we believe that a reacceleration of Chinese demand, our base case, is more important.

### China demand under pressure but grid offsets housing

China's copper demand growth slowed steadily in 2Q26, with apparent demand expanding by only 2.4% YoY YTD as persistent property weakness was compounded by a slowdown in electricity investment; our real-time demand indicator even factors in outright demand declines YoY. China is facing a "Zeitenwende" or watershed moment. Yet, we believe the setback in grid spending is temporary: State Grid's investment plans and the broader RMB25tn "Six Networks" programme point to a shift from property-led construction towards modern technology, electrification and digital infrastructure. This may end up dampening demand for steel, but it should support copper and aluminium. An acceleration in fixed-asset investment would be essential to push copper prices higher, but we believe grid upgrades will ultimately continue to offset the drag from housing, which now accounts for less than 10% of Chinese copper consumption.

### The grid should remain essential for copper

Global manufacturing indicators remain mixed, but average PMI readings are still above 50 and therefore broadly supportive of metals prices. US manufacturing remains in expansion territory, although weaker orders, backlogs and imports, alongside elevated input costs and policy uncertainty, may discourage restocking from currently low supply-chain inventories. China's manufacturing PMI improved to 49.8 in August, supported by stronger new orders and resilience in high-tech, electrical machinery and electronics. Meanwhile, construction and property-related activity remained the principal areas of weakness. Still, we reiterate our \$15,500/t or \$7/lb LME cash copper forecast for 2027.

04 September 2026

Commodities  
Global

**Global Commodity Research**  
BofA Europe (Madrid)

**Michael Widmer**  
Commodity Strategist  
MLI (UK)  
+44 20 7996 0694  
[michael.widmer@bofa.com](mailto:michael.widmer@bofa.com)
**Danica Averion**  
Commodity Strategist  
MLI (UK)  
[danica\\_ana.averion@bofa.com](mailto:danica_ana.averion@bofa.com)
**Francisco Blanch**  
Commodity & Deriv Strategist  
BofA Europe (Madrid)  
+34 91 514 3070  
[francisco.blanch@bofa.com](mailto:francisco.blanch@bofa.com)
**Clifton White**  
Commodity Strategist  
BofAS  
[clifton.white@bofa.com](mailto:clifton.white@bofa.com)
**Daryna Kovalska**  
Commodity Strategist  
MLI (UK)  
[daryna.kovalska@bofa.com](mailto:daryna.kovalska@bofa.com)
**Rachel Wiser**  
Commodity Strategist  
BofAS  
[rachel.wiser@bofa.com](mailto:rachel.wiser@bofa.com)
**Equity Research**  
**Jason Fairclough >>**  
Research Analyst  
MLI (UK)  
[jason.fairclough@bofa.com](mailto:jason.fairclough@bofa.com)
**Matty Zhao >>**  
Research Analyst  
Merrill Lynch (Hong Kong)  
[matty.zhao@bofa.com](mailto:matty.zhao@bofa.com)
**Caio Ribeiro >>**  
Research Analyst  
Merrill Lynch (Brazil)  
[caio.ribeiro@bofa.com](mailto:caio.ribeiro@bofa.com)

See Team Page for List of Analysts

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.

Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.

**BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.**

Refer to important disclosures on page 15 to 16.

# China's Zeitenwende

## The US absorbs any spare copper units

Copper prices have risen to record highs on a confluence of factors, including very tight mine supply, one reason we continue to expect a deficit this year (Exhibit 1).

### Exhibit 1: We expect a copper shortfall in 2026

Copper supply and demand balance

| '000 tonnes           | 2023       | 2024        | 2025       | 2026E       | 2027E     |
|-----------------------|------------|-------------|------------|-------------|-----------|
| Global production     | 26,152     | 26,652      | 27,953     | 27,955      | 29,229    |
| YoY change            | 6.9%       | 1.9%        | 4.9%       | 0.0%        | 4.6%      |
| Global consumption    | 25,846     | 26,776      | 27,775     | 28,352      | 29,201    |
| YoY change            | 2.6%       | 3.6%        | 3.7%       | 2.1%        | 3.0%      |
| <b>Balance</b>        | <b>305</b> | <b>-125</b> | <b>178</b> | <b>-397</b> | <b>28</b> |
| Market inventories    | 1,019      | 1,440       | 2,206      | 1,809       | 1,837     |
| Weeks of world demand | 2.1        | 2.8         | 4.1        | 3.3         | 3.3       |
| LME Cash (\$/t)       | 8,484      | 9,150       | 9,947      | 13,331      | 15,500    |
| LME Cash (c/lb)       | 385        | 415         | 451        | 605         | 703       |

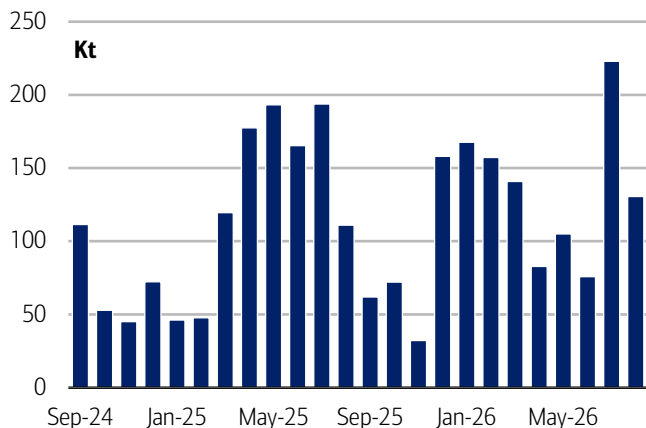
Source: Platts, Woodmac, CRU, Bloomberg, company reports, ICSG, BofA Global Research

BofA GLOBAL RESEARCH

That said, and beyond the traditional fundamental backdrop, relentless refined copper imports by the US have emptied the global market of any spare tonnages, a critical factor behind the rally. Exhibit 2 picks up on this, showing that shipments under the Bill of Lading hit an all-time high in July, as traders were yet again preparing for a potential tariff on refined copper. President Trump was at the time awaiting a report from the Secretary of Commerce on 30<sup>th</sup> July, with an updated assessment of the US market, including the construction of refining capacity, with expectations that the administration could impose trade restrictions. Meanwhile, Exhibit 3 shows refined copper imports, which highlights that shipments increased sharply in 2Q25 and have since remained elevated.

### Exhibit 2: Refined copper shipments to the US spiked in July in anticipation of potential copper tariffs

US Bill of Lading, imports of refined copper and alloys

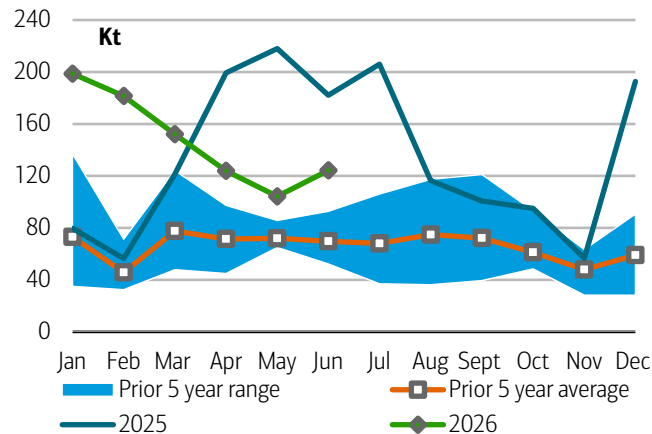


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 3: US copper imports keep running above longer-term averages

US general imports of refined copper



Source: USITC, BofA Global Research

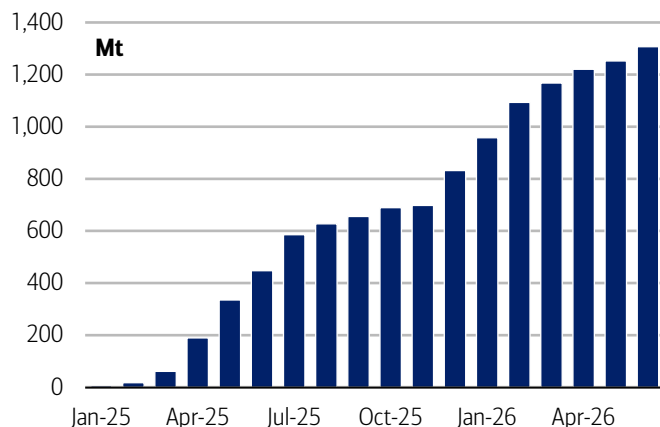
BofA GLOBAL RESEARCH

Exhibit 4 shows the implications, estimating the inventory build in the US from excess copper imports (i.e. shipments above the longer-term average), and the data shows that the country now stores +1.2Mt of refined copper. Exhibit 5 looks at this from a different perspective, focussing on stocks in global exchange warehouses, highlighting that the CME keeps attracting tonnages at the expense of the London Metal Exchange and Shanghai Futures Exchange.



**Exhibit 4: The US now stores +1.2Mt of copper inventories**

US inventories of refined copper



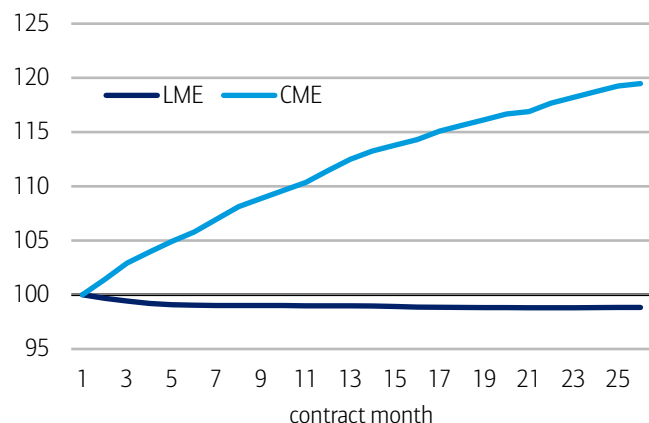
Source: USITC, BofA Global Research

BofA GLOBAL RESEARCH

Why has the CME been able to attract so much copper? Initially metal was sent to the US in anticipation of tariffs and traders saw the potential for a free lunch: any metal that was on the ground before a duty hit could later be sold at a tariff-inclusive price. Yet, those shipments ultimately overwhelmed the US market and this has weighed on the CME curve, which, as Exhibit 6 outlines, has been in steep contango<sup>1</sup>. Exhibit 7 takes this a step further, highlighting that the steep contangos have made warehouse financing deals<sup>2</sup> immensely profitable.

**Exhibit 6: CME copper prices are in contango, while LME is backwardated**

CME and LME forward curves

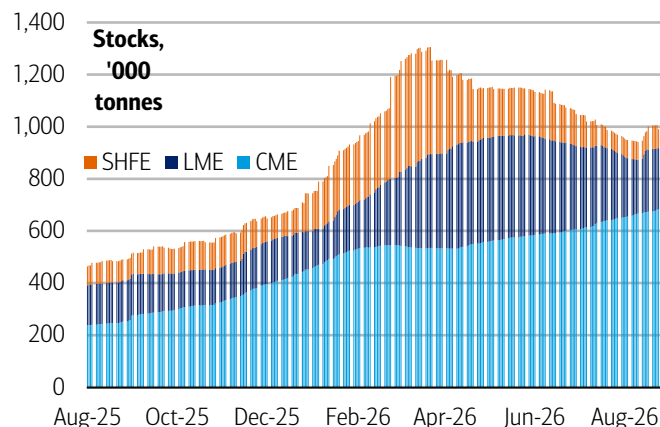


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

**Exhibit 5: CME inventories have risen steadily**

Copper exchange inventories



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

**Exhibit 7: Storing copper in CME warehouses is very profitable**

PnL of warehouse financing deals on CME



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

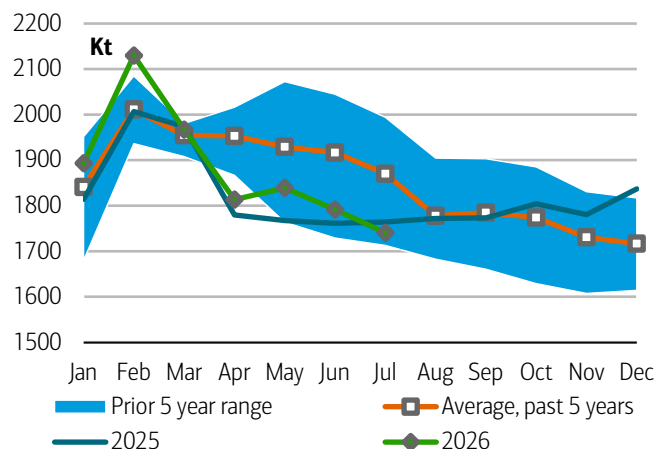
<sup>1</sup> Forward prices can be calculated through a cost-of-carry model, i.e. the cash price is the starting point, and holding costs (such as expenses for storage in warehouses or interest) are added. Holding benefits (e.g. from lending a metal) are deducted. Forward curves are normally in contango, i.e. future prices are higher than the cash price. However, future prices can fall below cash prices when markets are extremely tight. In such a situation, metal consumers are prepared to pay a convenience yield, i.e. spend more to have metal available immediately and the curve is in backwardation

<sup>2</sup> Under these transactions, a buyer, typically a financial institution or trader purchases metal for instance at cash prices and simultaneously sells forward for instance at 3-months prices. If forward curves are in contango, returns from these transactions can be positive, especially if reduced warehouse rents can be negotiated. This position needs to be financed, so interest rates matter as well

In fact, traders have an incentive to keep sending metal to the US just to put it into storage there. As this happens, inventories elsewhere are depleted. To that point, Exhibit 8 shows that China's copper stocks have been declining and are now close to multi-year lows. Similarly, Exhibit 5 outlines that LME inventories are very low. Exhibit 9 highlights that cancelled warrants<sup>3</sup> remain elevated, so more metal could be removed from warehouses still. As a result, LME forward curves have flipped into backwardation, making it very costly to store metal, reinforcing the pull from the US on copper units.

#### Exhibit 8: China's copper inventories have been declining

China refined copper cathode estimated domestic inventories

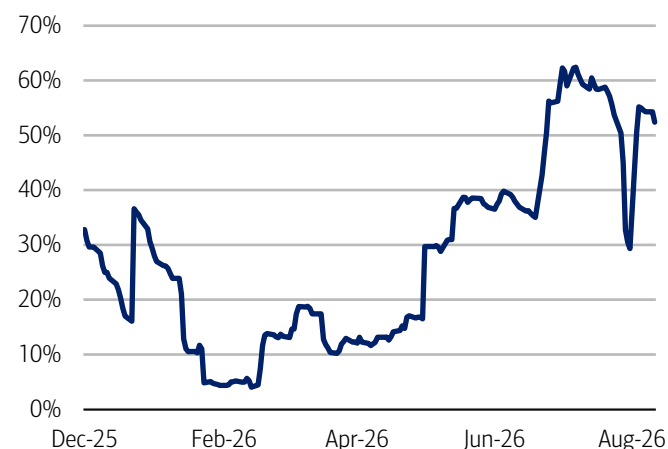


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

#### Exhibit 9: More than half of the copper held in LME warehouses has been earmarked for removal

LME cancelled warrants, of total inventories



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

Hence, we believe the US remains a sink for copper units, with the shape of CME curves a powerful incentive to keep metal in the country, irrespective of whether President Trump ends up imposing tariffs. What could prompt copper re-exports from the US? We believe traders would want to be compensated for that. That compensation could come in two forms:

1. CME curves flatten, when consumers place a bid on nearby contracts to source copper units; as more copper comes out of warehouses and the tightness eases, contangos should increase again, likely prompting a renewal of financing deals; or
2. LME prices keep squeezing higher, giving traders an incentive to ship material, a dynamic that has started to happen, with the nearby LME prices almost level with CME quotations; the squeeze in LME-CME differentials could, however, mean-revert when more metal arrives on LME and prices likely stop rallying, ultimately bringing a halt to metals shipments. As such, the financing deals look to have created a stable equilibrium and the market will work down stocks over time in reaction to "real" demand, without a noticeable impact. This is what happened on the aluminium market in the past decade.

## Copper demand has been under pressure

### China's copper demand growth eased steadily in 2Q26

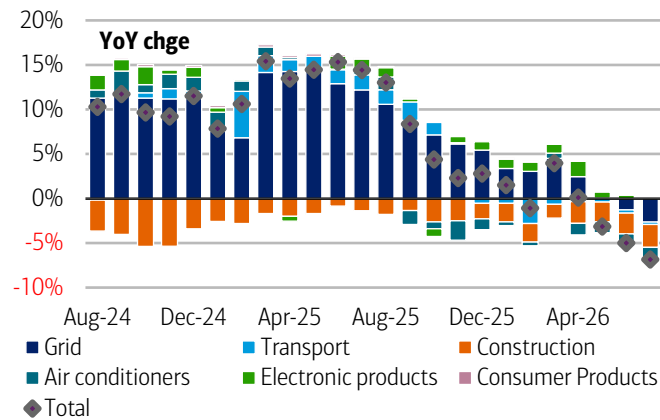
Shifting focus to China, Exhibit 10 shows our real-time demand tracker, which highlights that copper demand growth in China eased steadily in 2Q26. This has also been mirrored by apparent demand (i.e. refined production + imports – exports + stock changes), which has expanded by just 2.4% YoY YTD.

<sup>3</sup> A warrant is a bearer document reflecting ownership of metal in an LME warehouse. If an owner intends to remove metal from an LME warehouse, the warrant is cancelled (i.e. off warrant). Life warrants are on-warrant



### Exhibit 10: Copper demand has been under pressure on a slowdown in activity in several sectors

China, real-time copper demand tracker

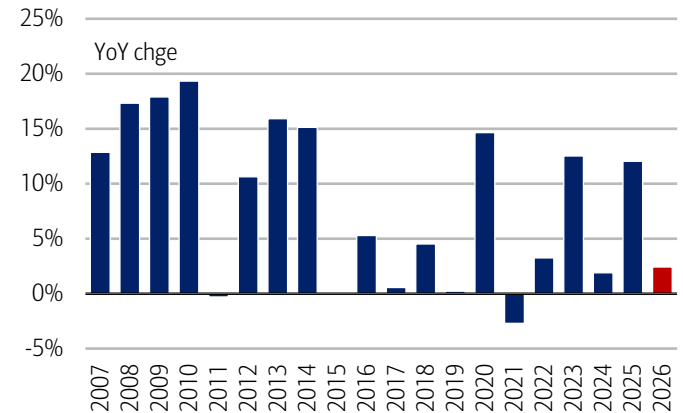


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 11: Apparent demand growth has slowed sharply

China, apparent refined copper demand YoY YTD



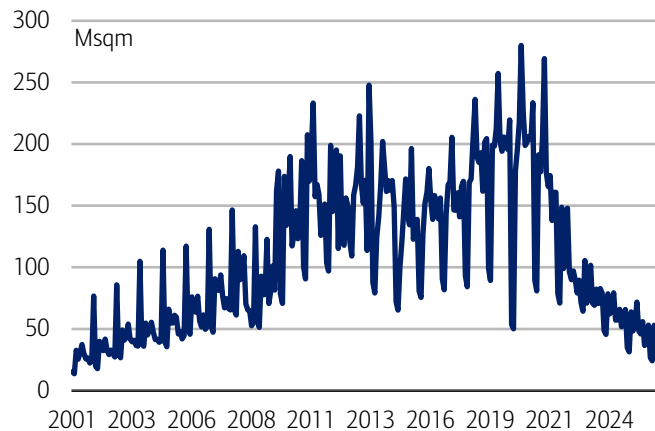
Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

Where is that weakness coming from? Exhibit 12 highlights that the property sector remains on its knees. At the same time, though, fixed asset investment in electricity is now declining. The latter matters in particular because that sector had carried China's copper demand post COVID, essentially offsetting the weakness in the country's property market after the government cracked down on speculation.

### Exhibit 12: China's housing market has collapsed and property now accounts for less than 10% of copper demand

China property, floor space of newly started houses

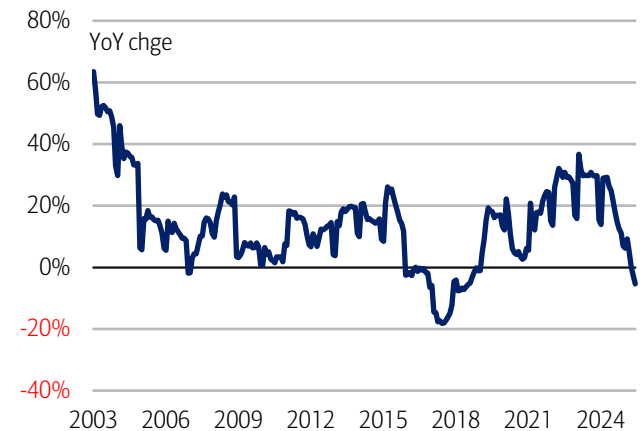


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

### Exhibit 13: Grid spending had carried the global copper market, but investment has dropped sharply

China FAI in the production and supply of electricity & heat



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 14 picks up on this, highlighting that China has continued to invest in the electrification of its grid. Yet, Exhibit 15 also outlines that the pace of installation in power generation capacity has slowed, led by a deceleration in solar photovoltaic, after relentless spending in recent years.

**Exhibit 14: China's power generation capacity has increased YoY YTD**

China, National Electricity Statistics Overview (January-July 2026)

| Indicator                                    | Unit      | Jan-Jul cumulative | Year-on-year change (%) |
|----------------------------------------------|-----------|--------------------|-------------------------|
| National installed power-generation capacity | 10,000 kW | 407,820            | 11.0                    |
| Of which: Hydropower                         | 10,000 kW | 45,550             | 3.4                     |
| Thermal power                                | 10,000 kW | 158,126            | 6.3                     |
| Nuclear power                                | 10,000 kW | 6,614              | 8.5                     |
| Wind power                                   | 10,000 kW | 68,720             | 19.5                    |
| Solar power                                  | 10,000 kW | 128,804            | 16.1                    |

Source: NEA, BofA Global Research

BofA GLOBAL RESEARCH

**Exhibit 15: The pace of installation in power generation capacity has slowed, most notably in solar**

China, National Electricity Statistics Overview (January-July 2026)

| Indicator                                 | Unit      | Jan-Jul cumulative | Year-on-year change (%) |
|-------------------------------------------|-----------|--------------------|-------------------------|
| Newly installed power-generation capacity | 10,000 kW | 19,397             | -13,851                 |
| Of which: Hydropower                      | 10,000 kW | 684                | 95                      |
| Thermal power                             | 10,000 kW | 5,030              | 392                     |
| Nuclear power                             | 10,000 kW | 362                | 362                     |
| Wind power                                | 10,000 kW | 4,707              | -778                    |
| Solar power                               | 10,000 kW | 8,615              | -13,922                 |

Source: NEA, BofA Global Research

BofA GLOBAL RESEARCH

**Weakness in electricity FAI looks to be temporary****State grid plans to increase spending**

While the slowdown in grid spending was well flagged after the post-COVID spending spree, the magnitude of the deceleration is still surprising given that, as recently as January, State Grid Corporation of China outlined plans to invest approximately RMB 4 trillion (US\$550-575bn) during China's 15th Five-Year Plan (2026-2030), an increase of about 40% versus 2021-2025. Looking through the plans, the main investment priorities were not necessarily generation capacity, but the transmission, distribution and ancillary services themselves:

1. **Ultra High Voltage (UHV) transmission:** Expansion of west-to-east and north-to-south power transmission corridors. Cross-provincial transmission capacity targeted to increase by more than 30% from end-2025 levels.
2. **Renewable integration:** Connection of roughly 200 GW of new wind and solar capacity annually within State Grid's service territory. Support for desert and Gobi renewable power bases.
3. **Energy storage:** Expansion of pumped hydro and battery storage to improve grid flexibility and renewable absorption. Under the broader decarbonisation blueprint, State Grid targets over 120 GW of pumped hydro in operation or construction by 2030 and integration of 140 GW of new energy storage during 2026-2030.
4. **Distribution networks and smart grids:** Upgrades to urban, rural and remote distribution networks. Greater deployment of digitalisation, AI and microgrid technologies.

**'Six Networks' to drive RMB25tn investment in 15th FYP**

Taking a step back, our colleagues in economics research have argued that China's next investment cycle is unlikely to resemble previous infrastructure booms, which were driven by property development and local government borrowing. Instead, policymakers are pivoting toward the "Six Networks" strategy, encompassing energy, computing, communications, logistics, water systems and urban infrastructure (see [China Viewpoint: Demystify China's investment downturn: placing hope on 'Six Networks'](#)). Put differently, China's definition of infrastructure is evolving toward sectors that combine strategic importance with genuine economic need.

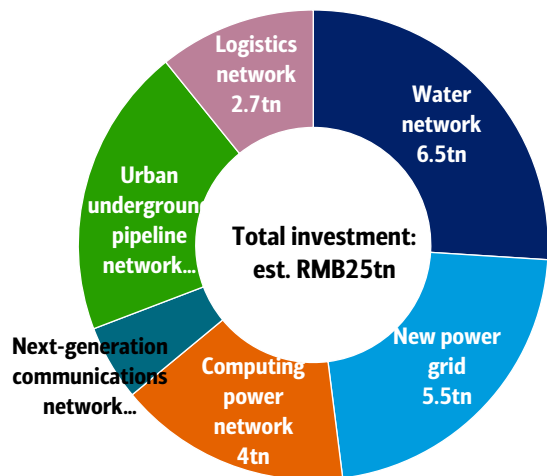
The direct consequence is a shift away from steel and cement-intensive investment toward more technology-driven capital expenditure. Investment is likely to become increasingly concentrated in a narrower group of high value-added and strategically important industries rather than being spread across entire supply chains. While this transition changes the composition of demand, it should remain supportive for copper and aluminium consumption given their critical role in the electrification of the economy.



Digging deeper, our colleagues estimate that new investment under the Six Networks framework could reach RMB25tn over the next five years.

**Exhibit 16: We expect the total new investment on 'Six Networks' to reach RMB25tn in 2026-2030**

Investment size for 'Six Networks' during the 15<sup>th</sup> FYP



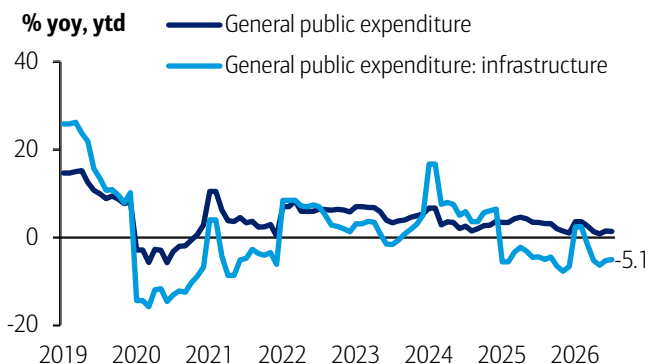
Source: BofA Global Research estimates, NDRC, Xinhua News, SOE statements

BofA GLOBAL RESEARCH

While the long-term direction appears set, the near-term backdrop remains challenging. Following a sharp deceleration in fixed asset investment (FAI) growth in 2H25, investment only briefly stabilised in 1Q26 before weakening again from April onwards. Year-to-date, FAI has declined by 6.7% YoY, with manufacturing and infrastructure investment contracting by 1.7% and 4.1%, respectively.

**Exhibit 18: General fiscal expenditure on infrastructure has contracted by 5.1% YoY in 7M26, despite headline increase of 1.3%**

Monthly general public expenditure and that on infrastructure investment (2019-26)



Source: BofA Global Research, CEIC

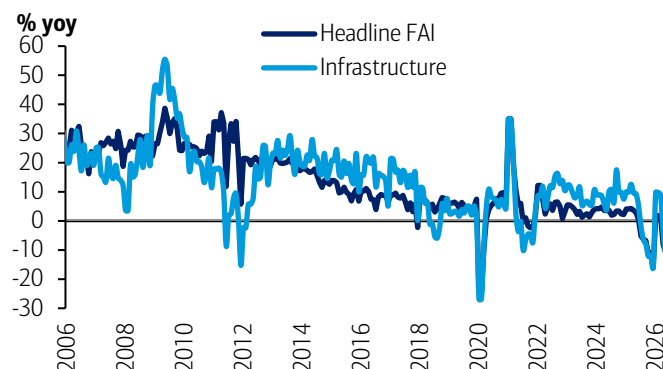
BofA GLOBAL RESEARCH

Infrastructure spending remains constrained by local government liquidity pressures, weak land sales, debt-resolution priorities and tighter LGFV financing conditions. Meanwhile, manufacturing investment appears to be held back less by the anti-involution campaign than by weak domestic demand and persistent supply-demand imbalances (Exhibit 18). Acknowledging these funding constraints, policymakers are increasingly relying on policy banks, central SOEs and government bond issuance to support investment, reducing dependence on local governments' land-sale revenues.

More fundamentally, the Six Networks initiative is not simply an infrastructure programme but the physical foundation of China's AI-driven growth strategy. By integrating power, computing, communications and data networks, it creates a unified

**Exhibit 17: Infrastructure FAI contracted sharply again after a short-lived rebound**

Yoy growth of headline FAI and infrastructure FAI (2006-26)

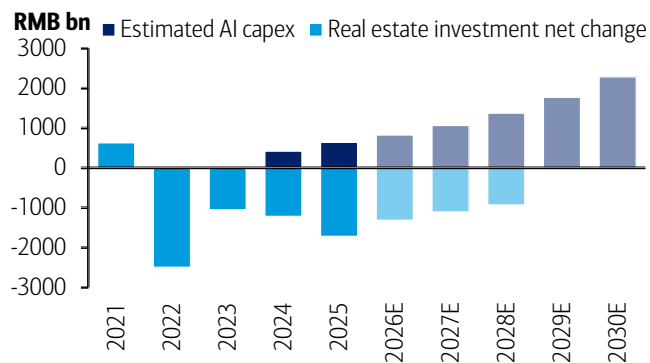


Source: BofA Global Research, NBS, CEIC

BofA GLOBAL RESEARCH

**Exhibit 19: China AI capex cannot yet offset the property downturn, but the gap is likely to reverse in the coming years**

China's estimated AI capex vs. net change in property investment (2021-30E)



Source: BofA Global Research estimates, CEIC, NBS; Note: Property readings for 2026-28 assume a trough at one-third of the 2021 peak.

BofA GLOBAL RESEARCH

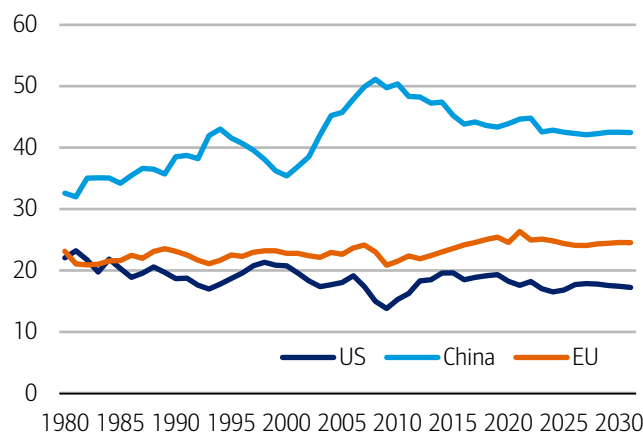
investment framework that channels capital toward digital infrastructure and advanced services. As the contribution of property and traditional infrastructure continues to fade, sustained investment in computing power, data centres and related networks could catalyse a new cycle of services-sector FAI and support the expansion of knowledge-intensive industries.

Against this backdrop, AI-related FAI should continue to accelerate, supported by government policy and intensifying US-China technology competition. The key question is whether it can meaningfully offset the drag from a prolonged property downturn. In absolute terms, however, China's AI-related investment remains far too small to fill that gap. AI capex in 2026 is estimated at RMB915-980bn, equivalent to roughly 0.4-0.5% of GDP (Exhibit 19). Still, the picture with copper demands is more nuanced: with property now accounting for less than 10% of consumption, compared to 30-40% at the peak, grid spending should be able to offset the drag from housing. A re-acceleration of FAI would, however, be a precondition from here.

Incidentally, continued investment in the economy is one reason we believe China's government has little immediate interest in transitioning towards a consumer-driven economy. Indeed, as Exhibit 20 highlights, the status quo enables the authorities to recycle elevated savings into modernizing the economy; at the same time, relatively low labour costs facilitate external trade, which has increased the current account surplus. That backdrop makes us comfortable with investment likely remaining a structural copper demand driver, even if the sectors driving the growth change.

#### Exhibit 20: China's savings rates remain high, which helps the government fund investment to modernize the economy

National savings rates, of GDP

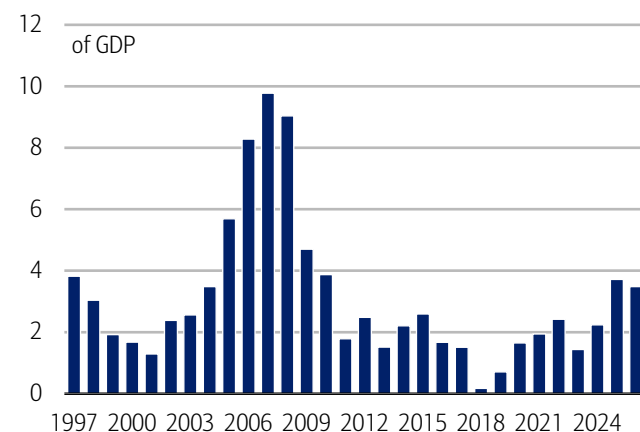


Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

#### Exhibit 21: China's current account surplus has increased, despite the trade disputes

China, current account surplus of GDP



Source: Bloomberg, BofA Global Research

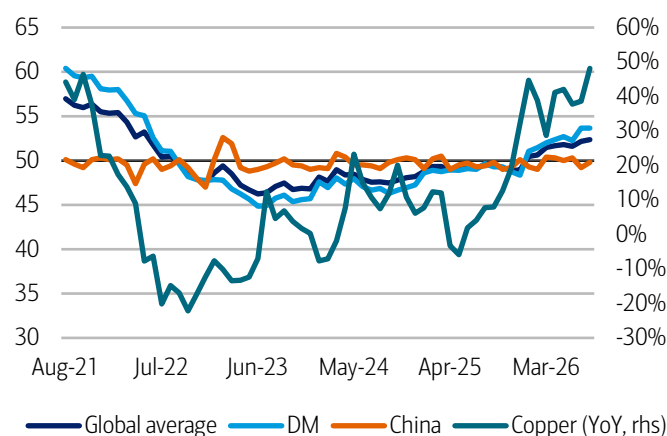
BofA GLOBAL RESEARCH

#### PMIs subdued, but averages are comfortably above 50

The latest set of PMI indicators, a proxy for the strength of metals demand, is mixed, but average levels continue to provide some support to prices. The ISM noted for August that "U.S. manufacturing activity remained in expansion territory, though it has lost ground in a number of key measures, namely the New Orders, Backlog and Imports indexes," adding that "of the five sub-indexes that make up the PMI®, the only one that grew faster than last month was Supplier Deliveries (up 0.4 percentage points), indicating a continuing slowdown in the supply chain." These challenges have also been reflected in comments from individual market participants, with a producer of Primary Metals noting that "steel prices continue to climb as supply diminishes, while aluminium is rising after dropping [...]. Demand seems to be a seesaw. Our ability to predict market conditions continues to diminish, with the exception that the year will remain difficult until the end." This is important because metal inventories throughout the supply chain are anecdotally low, and this backdrop may not incentivise consumers to restock.

**Exhibit 22: Average manufacturing PMIs remain above the 50 threshold**

Headline manufacturing PMIs



Source: Bloomberg, BofA Global Research

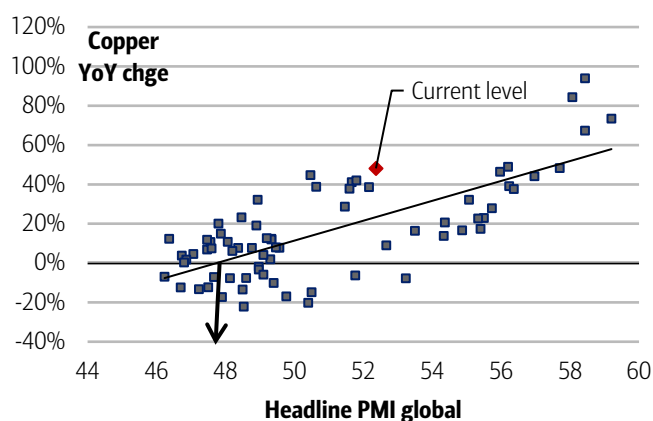
BofA GLOBAL RESEARCH

Meanwhile, a manufacturer of Transportation Equipment stated that “high steel and aluminium prices (due to Section 232 tariffs) continue to make profitability a challenge. Uncertainty over the U.S.-Mexico-Canada Agreement is at the forefront of many customer conversations. Our industry has also been hit with countervailing and anti-dumping penalties, further raising the cost of equipment.” A Machinery producer added that “prices continue to rise across all goods. Suppliers are noting that energy, steel and labour costs are increasing very quickly. We continue to try to move products around to offset costs. We have shifted more production to offshore sources in an effort to minimise cost pressures.”

In China, our colleagues in the economics team note ([China Watch: Aug PMI: a better manufacturing pulse, but construction remains challenged 31 August 2026](#)) that “the NBS manufacturing PMI rose to 49.8 in August from 49.2 in July. While the reading remained below the 50 threshold, it exceeded market expectations (49.5) and pointed to a modest improvement in manufacturing activity. Among the key components, new orders recorded the strongest rebound (50.6 versus 48.5 previously). The production index also improved to 50.4. By sector, strength remained concentrated in higher value-added industries, with the PMI for high-tech manufacturing staying elevated at 52.9. Production and new orders remained strong in electrical machinery and electronics, with both indices above 53, indicating solid demand and output growth. That said, construction activity remained weak despite stronger policy guidance aimed at boosting investment. In addition, the housing reform announced last week, which requires future residential projects to be sold only once completed or after structural completion, could reduce developers’ capital turnover and further dampen property-related construction activity in the future, in our view”

**Exhibit 23: Influenced by warehouse financing deals, copper prices trade above the trendline**

Headline manufacturing PMIs and copper prices



Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH

# Appendix

## Exhibit 24: Commodity prices, exchange rates, equity indices, yields and inventories

Metal prices have been under pressure

| Base metals | Cash, \$/t | 3-month, \$/t | Cash, WoW change | 3-month, WoW change |
|-------------|------------|---------------|------------------|---------------------|
| Aluminium   | 3,315      | 3,312         | 2.6%             | 2.4%                |
| Copper      | 14,391     | 14,334        | -0.4%            | 0.4%                |
| Lead        | 1,864      | 1,904         | -0.8%            | -0.6%               |
| Nickel      | 16,632     | 16,786        | -0.5%            | -0.5%               |
| Tin         | 54,607     | 54,952        | -0.7%            | -0.7%               |
| Zinc        | 4,052      | 3,912         | -1.6%            | 0.7%                |
| LMEX        | 5,879      |               | 0.4%             |                     |
|             | Cash, c/lb | 3-month, c/lb |                  |                     |
| Aluminium   | 150        | 150           |                  |                     |
| Copper      | 653        | 650           |                  |                     |
| Lead        | 85         | 86            |                  |                     |
| Nickel      | 754        | 761           |                  |                     |
| Tin         | 2,477      | 2,493         |                  |                     |
| Zinc        | 184        | 177           |                  |                     |

| Other commodities, freight, exchange rates, equities and yields | Spot   | YoY change |
|-----------------------------------------------------------------|--------|------------|
| Gold, \$/oz                                                     | 4,473  | -2.7%      |
| Silver, \$/oz                                                   | 67     | -3.3%      |
| Platinum, \$/oz                                                 | 1,823  | -1.5%      |
| Palladium, \$/oz                                                | 1,421  | 4.9%       |
| Iron ore, China fines cfr \$/dmt                                | 99     | 3.6%       |
| Brent, \$/bbl                                                   | 96     | 7.9%       |
| Baltic Dry Index                                                | 3,488  | 12.3%      |
| EUR/USD                                                         | 1.163  | -0.2%      |
| Dow Jones Industrial Average                                    | 53,686 | 0.2%       |
| 10-year US Treasury yield                                       | 4.769  | 2.0%       |
| ICE BofA Commodity index, ER                                    | 690    | 5.5%       |
| ICE BofA Commodity index Industrial Metals, ER                  | 256    | 1.0%       |
| ICE BofA Commodity index Precious Metals, ER                    | 438    | -2.7%      |
| ICE BofA Commodity index Energy, ER                             | 917    | 8.2%       |

| Exchange stocks and cancelled warrants | Stocks, tonnes | WoW change | Canc. warrants, tonnes | Canc. warr., of stocks |
|----------------------------------------|----------------|------------|------------------------|------------------------|
| Aluminium                              |                |            |                        |                        |
| LME                                    | 244,525        | -0.9%      | 2,325                  | 1.0%                   |
| Shanghai                               | 364,702        | -9.7%      |                        |                        |
| Total aluminium                        | 609,227        | -6.4%      |                        |                        |
| Copper                                 |                |            |                        |                        |
| LME                                    | 234,175        | -0.6%      | 120,550                | 51.5%                  |
| Comex                                  | 694,686        | 2.0%       |                        |                        |
| Shanghai                               | 63,000         | -29.6%     |                        |                        |
| Total copper                           | 991,861        | -1.4%      |                        |                        |
| Lead                                   |                |            |                        |                        |
| LME                                    | 391,975        | -4.0%      | 45,325                 | 11.6%                  |
| Shanghai                               | 73,828         | -1.6%      |                        |                        |
| Total lead                             | 465,803        | -3.7%      |                        |                        |
| Nickel                                 |                |            |                        |                        |
| LME                                    | 270,768        | 0.9%       | 11,982                 | 4.4%                   |
| Shanghai                               | 111,399        | -0.8%      |                        |                        |
| Total nickel                           | 382,167        | 0.4%       |                        |                        |
| Tin                                    | 5,470          | -2.1%      | 1,450                  | 26.5%                  |
| Zinc                                   |                |            |                        |                        |
| LME                                    | 112,175        | 14.6%      | 30,250                 | 27.0%                  |
| Shanghai                               | 148,661        | -4.7%      |                        |                        |
| Total zinc                             | 260,836        | 2.8%       |                        |                        |

Source: BofA Global Research

BofA GLOBAL RESEARCH

## Price forecasts and summary of rationale/risks



**Exhibit 25: Commodity price forecasts**

We are constructive to aluminium, copper and gold into 2027

|                         |            | Current | 3Q26E  | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2025   | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | LT price |
|-------------------------|------------|---------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|----------|
| <b>Base metals</b>      |            |         |        |        |        |        |        |        |        |        |        |        |        |        |          |
| Aluminium               | US\$/t     | 3,315   | 2,900  | 3,500  | 3,750  | 4,000  | 4,000  | 3,500  | 2,631  | 3,292  | 3,813  | 3,250  | 3,058  | 2,867  | 2,675    |
|                         | US\$/lb    | 150     | 132    | 159    | 170    | 181    | 181    | 159    | 119    | 149    | 173    | 147    | 139    | 130    | 121      |
| Copper                  | US\$/t     | 14,391  | 12,500 | 13,000 | 14,000 | 15,000 | 16,000 | 16,000 | 9,947  | 12,888 | 15,250 | 15,000 | 13,771 | 12,543 | 11,314   |
|                         | US\$/lb    | 653     | 567    | 590    | 635    | 680    | 726    | 726    | 451    | 585    | 692    | 680    | 625    | 569    | 513      |
| Lead                    | US\$/t     | 1,864   | 2,000  | 2,050  | 2,250  | 2,217  | 2,217  | 2,217  | 1,962  | 1,988  | 2,225  | 2,367  | 2,489  | 2,612  | 2,734    |
|                         | US\$/lb    | 85      | 91     | 93     | 102    | 101    | 101    | 101    | 89     | 90     | 101    | 107    | 113    | 118    | 124      |
| Nickel                  | US\$/t     | 16,632  | 17,500 | 19,000 | 19,000 | 19,000 | 19,000 | 19,000 | 15,164 | 18,024 | 19,000 | 19,500 | 19,102 | 18,705 | 18,307   |
|                         | US\$/lb    | 754     | 794    | 862    | 862    | 862    | 862    | 862    | 688    | 818    | 862    | 885    | 867    | 848    | 830      |
| NPI, 8-12%              | CNY/t      | 1,105   | 1,174  | 1,174  | 1,116  | 1,116  | 1,116  | 1,116  | 942    | 1,114  | 1,116  | 1,145  | 1,177  | 1,208  | 1,240    |
| Tin                     | US\$/t     | 54,607  | 50,000 | 52,000 | 55,000 | 57,000 | 60,000 | 60,000 | 34,045 | 50,599 | 58,000 | 60,000 | 53,333 | 46,667 | 40,000   |
|                         | US\$/lb    | 2,477   | 2,268  | 2,359  | 2,495  | 2,586  | 2,722  | 2,722  | 1,544  | 2,295  | 2,631  | 2,722  | 2,419  | 2,117  | 1,814    |
| Zinc                    | US\$/t     | 4,052   | 3,500  | 3,250  | 3,000  | 2,750  | 2,750  | 2,500  | 2,867  | 3,375  | 2,750  | 2,672  | 2,812  | 2,951  | 3,091    |
|                         | US\$/lb    | 184     | 159    | 147    | 136    | 125    | 125    | 113    | 130    | 153    | 125    | 121    | 128    | 134    | 140      |
| <b>Precious metals</b>  |            |         |        |        |        |        |        |        |        |        |        |        |        |        |          |
| Gold, nominal           | US\$/oz    | 4,445   | 3,900  | 4,250  | 4,750  | 5,000  | 5,000  | 4,500  | 3,440  | 4,360  | 4,813  | 4,375  | 4,237  | 4,098  | 3,960    |
| Gold, real              | US\$/oz    |         | 3,900  | 4,250  | 4,634  | 4,878  | 4,878  | 4,390  | 3,440  | 4,360  | 4,695  | 4,164  | 3,943  | 3,721  | 3,500    |
| Silver, nominal         | US\$/oz    | 66.25   | 60.00  | 55.00  | 63.33  | 75.00  | 75.00  | 65.00  | 40.08  | 67.77  | 69.58  | 57.50  | 54.17  | 50.85  | 47.52    |
| Silver, real            | US\$/oz    |         | 60.00  | 55.00  | 61.79  | 73.17  | 73.17  | 63.41  | 40.08  | 67.77  | 67.89  | 54.73  | 50.49  | 46.24  | 42.00    |
| Platinum                | US\$/oz    | 1,826   | 1,500  | 1,600  | 1,800  | 1,700  | 1,600  | 1,600  | 1,282  | 1,793  | 1,675  | 1,500  | 1,515  | 1,530  | 1,545    |
| Palladium               | US\$/oz    | 1,399   | 1,100  | 1,200  | 1,300  | 1,300  | 1,200  | 1,200  | 1,151  | 1,340  | 1,250  | 1,100  | 1,248  | 1,397  | 1,545    |
|                         |            | Current | 3Q26E  | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2025   | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | LT price |
| <b>Bulk Commodities</b> |            |         |        |        |        |        |        |        |        |        |        |        |        |        |          |
| Hard coking coal        | US\$/t fob | 280     | 240    | 230    | 250    | 250    | 240    | 250    | 188    | 236    | 248    | 260    | 253    | 245    | 238      |
| Semi-soft               | US\$/t fob | 145     | 146    | 140    | 153    | 153    | 146    | 153    | 115    | 144    | 151    | 159    | 140    | 145    | 159      |
| Thermal Coal            | US\$/t fob | 149     | 140    | 130    | 125    | 120    | 130    | 125    | 106    | 132    | 125    | 125    | 123    | 121    | 119      |
| Iron ore fines          | US\$/t CIF | 100     | 99     | 100    | 100    | 98     | 95     | 98     | 101    | 102    | 98     | 95     | 99     | 103    | 107      |
|                         |            | Current | 3Q26E  | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2025   | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | LT price |
| <b>Other materials</b>  |            |         |        |        |        |        |        |        |        |        |        |        |        |        |          |
| Lithium spodumene       | US\$/t     | 2,254   | 2,250  | 1,750  | 1,500  | 1,500  | 1,500  | 1,500  | 849    | 2,166  | 1,500  | 1,500  | 1,495  | 1,491  | 1,486    |
| Lithium carbonate       | US\$/t     | 18,800  | 19,500 | 17,500 | 15,000 | 15,000 | 15,000 | 15,000 | 9,563  | 19,328 | 15,000 | 15,000 | 15,657 | 16,314 | 16,971   |
| Lithium hydroxide       | US\$/t     | 19,100  | 18,000 | 15,000 | 13,500 | 13,500 | 13,500 | 13,500 | 9,334  | 17,817 | 13,500 | 13,500 | 15,157 | 16,814 | 18,471   |
| Alumina                 | \$/t       | 350     | 300    | 325    | 350    | 350    | 350    | 350    | 382    | 308    | 350    | 341    | 371    | 402    | 433      |
| Uranium                 | \$/lb      |         | 115.00 | 130.00 | 104.20 | 135.00 | 140.00 | 140.00 | 72.64  | 104.21 | 129.80 | 111.75 | 102.75 | 93.75  | 84.75    |
| Molybdenum              | \$/lb      | 33.4    | 30.64  | 30.64  | 18.78  | 18.78  | 18.78  | 18.78  | 22.13  | 29.41  | 18.78  | 16.88  | 15.72  | 14.56  | 13.40    |
| Cobalt                  | \$/lb      | 26.0    | 27.50  | 30.00  | 30.00  | 27.50  | 25.00  | 25.00  | 18.82  | 27.71  | 26.88  | 20.96  | 21.89  | 22.83  | 23.77    |
| Manganese ore           | \$/dmtu    | 4.77    | 4.93   | 4.93   | 5.52   | 5.52   | 5.52   | 5.52   | 4.58   | 5.06   | 5.52   | 5.52   | 5.52   | 6.11   | 7.04     |
| <b>Steel, HRC</b>       |            |         |        |        |        |        |        |        |        |        |        |        |        |        |          |
| HRC, Europe             | US\$/t     | 849     | 857    | 872    | 875    | 877    | 880    | 882    | 685    | 836    | 879    | 896    |        |        |          |
| HRC, US                 | US\$/t     | 1,328   | 1,130  | 953    | 937    | 937    | 937    | 937    | 939    | 1,089  | 937    | 909    |        |        |          |
| HRC, China              | US\$/t     | 500     | 492    | 492    | 481    | 481    | 481    | 481    | 466    | 492    | 481    | 485    |        |        |          |
|                         |            | Current | 3Q26E  | 4Q26E  | 1Q27E  | 2Q27E  | 3Q27E  | 4Q27E  | 2025   | 2026E  | 2027E  | 2028E  | 2029E  | 2030E  | LT price |
| WTI                     | US\$/bbl   | 90      | 75     | 69     | 68     | 63     | 65     | 66     | 64     | 78     | 66     |        |        |        |          |
| Brent                   | US\$/bbl   | 95      | 79     | 73     | 72     | 67     | 69     | 70     | 67     | 82     | 70     |        |        |        |          |
| Henry Hub               | US\$/MMBtu | 3.0     | 3.0    | 3.4    | 4.4    | 3.3    | 3.3    | 3.7    | 3.3    | 3.6    | 3.7    |        |        |        |          |

Source: BofA Global Research

BofA GLOBAL RESEARCH

**Exhibit 26: Price forecasts, fundamental drivers and risks**

We are bullish a range of cyclical commodities

| Metal        | 2026E                 | 2027E                 | Fundamental drivers                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  | Risks (D = downside; U = upside)                                                                                                                                                                                                                                                                                                                                                                                       |  |
|--------------|-----------------------|-----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Aluminium    | \$3,292/t<br>149c/lb  | \$3,813/t<br>173c/lb  | <ul style="list-style-type: none"> <li>Competition for aluminium units is increasing between consumers in Europe and the US as both markets are short.</li> <li>Yet, concerns over a recovery of Middle Eastern supply, rising Indonesian production and China producing above the 45mt cap have pushed prices lower</li> <li>Still, we expect deficits in 2026 and 2027.</li> </ul>                                                                                                                                   |  | <ul style="list-style-type: none"> <li>D: Correction in equities over AI concerns</li> <li>D: Trade wars impact on sentiment</li> <li>D: No production discipline in China/World ex-China</li> <li>D: China exports more</li> <li>U: Smelter restraint and/or production disruptions reduce output</li> <li>U: Stronger-than-anticipated demand growth</li> </ul>                                                      |  |
| Copper       | \$12,888/t<br>585c/lb | \$15,250/t<br>692c/lb | <ul style="list-style-type: none"> <li>China's metals demand has slowed in 2H25 on headwinds to grid spending. Still, investment has accelerated since, so fundamentals on the domestic market have been supportive.</li> <li>Demand in Europe and the US is slowing given the Iran war, but spending on energy resilience will likely be bullish.</li> <li>Supply constraint is set to sustain a deficit.</li> <li>We expect deficits in 2026 and 2027.</li> </ul>                                                    |  | <ul style="list-style-type: none"> <li>D: Correction in equities over AI concerns</li> <li>D: Trade wars impact on sentiment</li> <li>D: Global demand slows sharply into next year</li> <li>U: Restocking through the supply chain on improved confidence</li> <li>U: Continued production disruptions in coming quarters</li> </ul>                                                                                  |  |
| Lead         | \$1,998/t<br>90c/lb   | \$2,225t<br>101c/lb   | <ul style="list-style-type: none"> <li>There are no immediate scrap or concentrates shortages, suggesting the market could flip back into surplus.</li> <li>China's demand has slowed structurally, but a shift to lead acid batteries in e-bikes set to be supportive.</li> <li>EVs are not a threat yet</li> </ul>                                                                                                                                                                                                   |  | <ul style="list-style-type: none"> <li>D: Correction in equities over AI concerns</li> <li>D: Trade wars impact on sentiment.</li> <li>D: Destocking in China or higher lead exports from the country.</li> <li>U: Strong seasonal demand for replacement batteries after cold/hot winter/summer months</li> <li>U: Recycling underperforms and mine supply tightens further</li> </ul>                                |  |
| Nickel       | \$18,024/t<br>818c/lb | \$19,000/t<br>862c/lb | <ul style="list-style-type: none"> <li>Demand continues to grow strongly from EV manufacturers.</li> <li>Indonesia is looking to slow the unfettered output growth seen in recent years, likely reducing surpluses and supporting prices in 2026/27.</li> <li>Still, the government may allow some production increases in 2H26, making prices +\$20k/t unlikely.</li> <li>We anticipate a deficit in 2026 and a surplus in 2027.</li> </ul>                                                                           |  | <ul style="list-style-type: none"> <li>D: Correction in equities over AI concerns</li> <li>D: Trade wars impact on sentiment.</li> <li>D: NPI producers don't close shop; ore inventories last for longer and more ores are imported from the Philippines</li> <li>D: Faster ramp-up of Indonesian NPI production</li> <li>D: Stainless steel demand remains subdued</li> <li>U: Indonesia cuts production.</li> </ul> |  |
| Zinc         | \$3,375/t<br>153c/lb  | \$2,750t<br>125c/lb   | <ul style="list-style-type: none"> <li>Mine supply remains tight.</li> <li>LME inventories are very low, which has led to periodic short squeezes.</li> <li>China has been reluctant to export more refined metal, which has kept a liquidity squeeze on LME.</li> <li>We expect a surplus in 2026 and 2027.</li> </ul>                                                                                                                                                                                                |  | <ul style="list-style-type: none"> <li>D: Correction in equities over AI concerns</li> <li>D: Trade wars impact on sentiment</li> <li>D: Unreported inventories exist on the zinc market. More metal could become available</li> <li>U: China does not export refined zinc and the squeeze on LME continues</li> </ul>                                                                                                 |  |
| Gold         | \$4,360/oz            | \$4,813/oz            | <ul style="list-style-type: none"> <li>Gold has been overbought, but underinvested. Prices have corrected after relentless ETF purchases subsided in autumn.</li> <li>Gold is a hedge against US macro and economic policy uncertainty</li> <li>The hawkish Fed tilt will likely cap prices near-term</li> <li>The wider macro environment, including the US' unorthodox economic policies are ultimately supportive.</li> </ul>                                                                                       |  | <ul style="list-style-type: none"> <li>D: Deterioration of investor sentiment</li> <li>D: Real rates become more positive; sustained USD rally</li> <li>D: High gold prices deter buyers of physical gold; increased scrap supply</li> </ul>                                                                                                                                                                           |  |
| Silver       | \$68/oz               | \$70/oz               | <ul style="list-style-type: none"> <li>The silver market has rebalanced on production discipline and demand from new applications including solar panels.</li> <li>Spending on solar panels has boosted silver demand, but a shift in technology likely reduces consumption by 11% in 2026.</li> <li>We expect a deficit in 2026, but further out, the bullish fundamental outlook is less clear cut on a risk that silver substitution accelerates.</li> <li>Silver could trade more like a precious metal</li> </ul> |  | <ul style="list-style-type: none"> <li>U: Investors returning to the market</li> <li>U: China's imports to rise</li> <li>D: ETF liquidation</li> <li>D: More supply</li> </ul>                                                                                                                                                                                                                                         |  |
| Platinum     | \$1,793/oz            | \$1,675/oz            | <ul style="list-style-type: none"> <li>Platinum remains in deficit and should continue to outperform palladium.</li> <li>Palladium fundamentals are softer, albeit Russia's output cut should limit the extent of surpluses.</li> </ul>                                                                                                                                                                                                                                                                                |  | <ul style="list-style-type: none"> <li>D: Jewellery demand suffers due to rising prices</li> <li>D: Support from China buying subsidies</li> <li>D: Demand from key buyers like Europe not increasing</li> <li>U: Production disruptions reduce availability of Pt and Pd</li> <li>U: Secondary supply of Pt and Pd underperforms</li> </ul>                                                                           |  |
| Palladium    | \$1,340/oz            | \$1,250/oz            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |                                                                                                                                                                                                                                                                                                                                                                                                                        |  |
| Iron Ore     | \$102/t CIF           | \$98/t CIF            | <ul style="list-style-type: none"> <li>Global iron ore production keeps pushing higher, capping price rallies.</li> <li>China's steel mills remain under pressure on overcapacities and pushback from countries around the world against steel exports.</li> <li>Blast furnace production has held up.</li> </ul>                                                                                                                                                                                                      |  | <ul style="list-style-type: none"> <li>D: China's steel production slowing sharply</li> <li>U: Mine closures/slowdown in production increases</li> <li>U: Indian seaborne imports rising sharply</li> </ul>                                                                                                                                                                                                            |  |
| HCC          | \$236/t               | \$248/t               | <ul style="list-style-type: none"> <li>Tight global LNG supply and record high summer temperatures to keep a bid on thermal coal, particularly in the Pacific.</li> <li>The met coal market is rebalancing as the supply overhang in China eases.</li> </ul>                                                                                                                                                                                                                                                           |  | <ul style="list-style-type: none"> <li>D: China ramps up domestic production</li> <li>U: Chinese steel production stronger (HCC)</li> <li>U: Mine closures</li> </ul>                                                                                                                                                                                                                                                  |  |
| Thermal coal | \$132/t               | \$125/t               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |                                                                                                                                                                                                                                                                                                                                                                                                                        |  |

Colours indicate our stance on each commodity: Green = bullish, Yellow = neutral, Red = cautious. **Source:** BofA Global Research estimates

BofA GLOBAL RESEARCH



## Supply and demand balances

**Exhibit 27: We continue to expect a deficit**

Aluminium supply and demand balance t

| '000 tonnes            | 2023         | 2024         | 2025         | 2026E        | 2027E         |
|------------------------|--------------|--------------|--------------|--------------|---------------|
| Global production      | 70,593       | 73,425       | 74,746       | 76,200       | 77,823        |
| YoY change             | 2.5%         | 4.0%         | 1.8%         | 1.9%         | 2.1%          |
| Global consumption     | 70,205       | 72,748       | 74,527       | 76,353       | 79,252        |
| YoY change             | 1.4%         | 3.6%         | 2.4%         | 2.5%         | 3.8%          |
| <b>Balance</b>         | <b>388</b>   | <b>677</b>   | <b>219</b>   | <b>-153</b>  | <b>-1,428</b> |
| Market inventories     | 9,237        | 9,184        | 8,759        | 8,607        | 7,179         |
| Weeks of world demand  | 6.8          | 6.6          | 6.1          | 5.9          | 4.7           |
| <b>LME Cash (\$/t)</b> | <b>2,254</b> | <b>2,420</b> | <b>2,631</b> | <b>3,292</b> | <b>3,813</b>  |
| <b>LME Cash (c/lb)</b> | <b>102</b>   | <b>110</b>   | <b>119</b>   | <b>149</b>   | <b>173</b>    |

Source: Platts, Woodmac, CRU, Bloomberg, company reports, IAI, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 29: Lead shortfalls are unlikely**

Lead supply and demand balance

| '000 tonnes            | 2023         | 2024         | 2025         | 2026E        | 2027E        |
|------------------------|--------------|--------------|--------------|--------------|--------------|
| Global production      | 14,362       | 14,202       | 14,387       | 14,439       | 14,809       |
| YoY change             | 2.7%         | -1.1%        | 1.3%         | 0.4%         | 2.6%         |
| Global consumption     | 14,459       | 14,177       | 14,346       | 14,530       | 14,795       |
| YoY change             | 2.1%         | -1.9%        | 1.2%         | 1.3%         | 1.8%         |
| <b>Balance</b>         | <b>-97</b>   | <b>25</b>    | <b>40</b>    | <b>-91</b>   | <b>14</b>    |
| Market inventories     | 437          | 542          | 514          | 423          | 436          |
| Weeks of world demand  | 1.6          | 2.0          | 1.9          | 1.5          | 1.5          |
| <b>LME Cash (\$/t)</b> | <b>2,136</b> | <b>2,071</b> | <b>1,962</b> | <b>1,988</b> | <b>2,225</b> |
| <b>LME Cash (c/lb)</b> | <b>97</b>    | <b>94</b>    | <b>89</b>    | <b>90</b>    | <b>101</b>   |

Source: Platts, Woodmac, CRU, Bloomberg, company reports, ILZSG, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 31: Global surpluses, but those may accrue in China**

Zinc supply and demand balance

| '000 tonnes            | 2023         | 2024         | 2025         | 2026E        | 2027E        |
|------------------------|--------------|--------------|--------------|--------------|--------------|
| Global production      | 13,875       | 13,539       | 13,830       | 14,100       | 14,400       |
| YoY change             | 3.6%         | -2.4%        | 2.1%         | 2.0%         | 2.1%         |
| Global consumption     | 13,359       | 13,574       | 13,688       | 13,879       | 14,256       |
| YoY change             | -2.1%        | 1.6%         | 0.8%         | 1.4%         | 2.7%         |
| <b>Balance</b>         | <b>516</b>   | <b>-35</b>   | <b>142</b>   | <b>221</b>   | <b>144</b>   |
| Market inventories     | 752          | 724          | 637          | 858          | 1,002        |
| Weeks of world demand  | 2.9          | 2.8          | 2.4          | 3.2          | 3.7          |
| <b>LME Cash (\$/t)</b> | <b>2,648</b> | <b>2,778</b> | <b>2,867</b> | <b>3,375</b> | <b>2,750</b> |
| <b>LME Cash (c/lb)</b> | <b>120</b>   | <b>126</b>   | <b>130</b>   | <b>153</b>   | <b>125</b>   |

Source: Platts, Woodmac, CRU, Bloomberg, company reports, ILZSG, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 33: Silver deficits are declining**

Silver supply and demand balance

| tonnes              | 2023          | 2024          | 2025           | 2026E         | 2027E         |
|---------------------|---------------|---------------|----------------|---------------|---------------|
| Global production   | 31,007        | 31,713        | 33,915         | 32,587        | 32,367        |
| YoY change          | -3.2%         | 2.3%          | 6.9%           | -3.9%         | -0.7%         |
| Global consumption  | 35,173        | 37,657        | 45,250         | 34,478        | 33,591        |
| YoY change          | -6.8%         | 7.1%          | 20.2%          | -23.8%        | -2.6%         |
| <b>Balance</b>      | <b>-4,166</b> | <b>-5,944</b> | <b>-11,335</b> | <b>-1,891</b> | <b>-1,225</b> |
| <b>Spot (\$/oz)</b> | <b>23.4</b>   | <b>28.2</b>   | <b>40.1</b>    | <b>67.8</b>   | <b>69.6</b>   |

Source: Silver Institute, company reports, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 28: We continue to expect a deficit**

Copper supply and demand balance

| '000 tonnes            | 2023         | 2024         | 2025         | 2026E         | 2027E         |
|------------------------|--------------|--------------|--------------|---------------|---------------|
| Global production      | 26,152       | 26,652       | 27,953       | 27,955        | 29,229        |
| YoY change             | 6.9%         | 1.9%         | 4.9%         | 0.0%          | 4.6%          |
| Global consumption     | 25,846       | 26,776       | 27,775       | 28,352        | 29,201        |
| YoY change             | 2.6%         | 3.6%         | 3.7%         | 2.1%          | 3.0%          |
| <b>Balance</b>         | <b>305</b>   | <b>-125</b>  | <b>178</b>   | <b>-397</b>   | <b>28</b>     |
| Market inventories     | 1,019        | 1,440        | 2,206        | 1,809         | 1,837         |
| Weeks of world demand  | 2.1          | 2.8          | 4.1          | 3.3           | 3.3           |
| <b>LME Cash (\$/t)</b> | <b>8,484</b> | <b>9,150</b> | <b>9,947</b> | <b>13,331</b> | <b>15,500</b> |
| <b>LME Cash (c/lb)</b> | <b>385</b>   | <b>415</b>   | <b>451</b>   | <b>605</b>    | <b>703</b>    |

Source: Platts, Woodmac, CRU, Bloomberg, company reports, ICSG, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 30: Nickel deficits on production cuts in Indonesia**

Nickel supply and demand balance

| '000 tonnes             | 2023          | 2024          | 2025          | 2026E         | 2027E         |
|-------------------------|---------------|---------------|---------------|---------------|---------------|
| Global production       | 3,558         | 3,551         | 3,886         | 3,795         | 4,239         |
| YoY change              | 11.9%         | 4.0%          | 9.2%          | 8.8%          | 7.0%          |
| Global consumption      | 3,244         | 3,499         | 3,618         | 3,857         | 4,268         |
| YoY change              | 9.7%          | 7.9%          | 9.2%          | 7.2%          | 7.6%          |
| <b>Balance</b>          | <b>315</b>    | <b>52</b>     | <b>269</b>    | <b>-62</b>    | <b>-29</b>    |
| Weeks of world demand   | 3.0           | 4.6           | 5.9           | 4.7           | 3.9           |
| <b>LME price (\$/t)</b> | <b>21,483</b> | <b>16,829</b> | <b>15,164</b> | <b>18,024</b> | <b>19,000</b> |
| <b>LME price (c/lb)</b> | <b>974</b>    | <b>763</b>    | <b>688</b>    | <b>818</b>    | <b>862</b>    |

Source: Platts, Woodmac, CRU, Bloomberg, company reports, INSG, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 32: Tin to remain tight**

Tin supply and demand balance

| '000 tonnes            | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|------------------------|---------------|---------------|---------------|---------------|---------------|
| Global production      | 384           | 370           | 371           | 380           | 387           |
| YoY change             | 1.2%          | -3.5%         | 0.2%          | 2.4%          | 1.8%          |
| Global consumption     | 368           | 378           | 383           | 383           | 387           |
| YoY change             | -3.4%         | 2.8%          | 1.2%          | 0.1%          | 1.2%          |
| <b>Balance</b>         | <b>16</b>     | <b>-8</b>     | <b>-12</b>    | <b>-3</b>     | <b>-1</b>     |
| <b>LME Cash (\$/t)</b> | <b>25,922</b> | <b>30,088</b> | <b>34,045</b> | <b>50,599</b> | <b>58,000</b> |
| <b>LME Cash (c/lb)</b> | <b>1,176</b>  | <b>1,365</b>  | <b>1,544</b>  | <b>2,295</b>  | <b>2,630</b>  |

Source: CRU, S&P, company reports, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 34: Lithium flipping back into surplus**

Lithium supply and demand balance

| tonnes             | 2023          | 2024           | 2025           | 2026E          | 2027E          |
|--------------------|---------------|----------------|----------------|----------------|----------------|
| Global production  | 1,063,644     | 1,338,988      | 1,555,537      | 1,970,119      | 2,451,497      |
| YoY change         | 43.4%         | 25.9%          | 16.2%          | 26.7%          | 24.4%          |
| Global consumption | 987,178       | 1,223,590      | 1,578,812      | 2,051,709      | 2,350,650      |
| YoY change         | 30.5%         | 23.9%          | 29.0%          | 30.0%          | 14.6%          |
| <b>Balance</b>     | <b>76,466</b> | <b>115,398</b> | <b>-23,275</b> | <b>-81,590</b> | <b>100,848</b> |
| <b>Spot (\$/t)</b> | <b>40,469</b> | <b>12,420</b>  | <b>9,563</b>   | <b>20,056</b>  | <b>18,667</b>  |

Source: Company reports, CRU, IEA, BNEF, Bloomberg, BofA Global Research  
BofA GLOBAL RESEARCH

**Exhibit 35: Platinum shortfalls persist**

Platinum supply and demand balance

| '000 ounces         | 2023        | 2024        | 2025         | 2026E        | 2027E        |
|---------------------|-------------|-------------|--------------|--------------|--------------|
| Global production   | 7,093       | 7,154       | 7,080        | 7,160        | 7,357        |
| YoY change          | -1.2%       | 0.9%        | -1.0%        | 1.1%         | 2.8%         |
| Global consumption  | 7,819       | 7,782       | 8,019        | 7,368        | 7,640        |
| YoY change          | 17.2%       | -0.5%       | 3.0%         | -8.1%        | 3.7%         |
| <b>Balance</b>      | <b>-726</b> | <b>-628</b> | <b>-939</b>  | <b>-208</b>  | <b>-283</b>  |
| <b>Spot (\$/oz)</b> | <b>967</b>  | <b>956</b>  | <b>1,282</b> | <b>1,793</b> | <b>1,675</b> |

Source: Matthey, company reports, BofA Global Research

BofA GLOBAL RESEARCH

**Exhibit 36: Palladium likely flips into surplus**

Palladium supply and demand balance

| '000 ounces         | 2023         | 2024        | 2025         | 2026E        | 2027E        |
|---------------------|--------------|-------------|--------------|--------------|--------------|
| Global production   | 9,652        | 9,850       | 9,689        | 9,503        | 9,710        |
| YoY change          | 4.5%         | 2.1%        | -1.6%        | -1.9%        | 2.2%         |
| Global consumption  | 10,390       | 10,067      | 10,140       | 9,365        | 9,203        |
| YoY change          | 4.8%         | -3.1%       | 0.7%         | -7.6%        | -1.7%        |
| <b>Balance</b>      | <b>-738</b>  | <b>-217</b> | <b>-451</b>  | <b>137</b>   | <b>507</b>   |
| <b>Spot (\$/oz)</b> | <b>1,340</b> | <b>984</b>  | <b>1,151</b> | <b>1,340</b> | <b>1,250</b> |

Source: Matthey, company reports, BofA Global Research

BofA GLOBAL RESEARCH

